

In **Chapter 5**, we analyse the potential of smaller companies to outperform large-caps in India. The NDA-led government's multi-pronged attack on black money is resulting in the active diversion of savings away from physical assets to financial assets, which in turn benefits smaller businesses disproportionately (relative to the large household names that dominate the stock market). Against this backdrop, we analyse two key drivers of outperformance of smaller companies—they have the potential to grow their profits much faster than large companies and, secondly, as small companies grow in size they are 'discovered' by the stock market.

In **Chapter 6** we demonstrate how patient investing (i.e. holding stocks for longer than a year) in high-quality stocks helps an investor generate outstanding returns with low levels of volatility. While intuition suggests that shorter investment horizons are akin to speculative investing, where investors do not need to focus too much on the quality of the company, our analysis shows that even for short time horizons, high-quality stock picking is central to generating healthy returns.

In **Chapter 7**, we put our learnings to work to build good-quality investment portfolios for Mr Talwar and Mr Sanghvi. We study the importance of financial planning as an exercise to match investments with life goals. By combining Coffee Can Portfolios, Exchange Traded Funds, small-cap funds and liquid funds, we help Mr Talwar and Mr Sanghvi look forward to a financially secure future.

Finally, in **Chapter 8**, we put our takeaways from the preceding chapters to work to create a financial plan for you using the Ambit Financial Planning tool.

Three takeaways from this chapter:

1. It is critical for an investor to nail down objectives and bake them into a financial plan. The exercise helps match the investor's financial goals with the kind of risk that needs to be taken in the portfolio.
2. It is important to not adhere to the age-old wisdom of investing heavily in fixed deposits, real estate and gold. These assets have unperformed